Business Management HL · Set B · Paper 3

Question booklet · 75 minutes · 25 marks

Answer all questions. A calculator is permitted. Use the case evidence and show calculations. Write on separate paper.

Resource 1 · The mission of NightBridge

NightBridge is a social enterprise providing safe late-evening transport for shift workers in a rural district. Its constitution requires at least 60% of passenger journeys to be offered to eligible low-income workers at a maximum fare of CU 2. Last year it carried 30,000 passenger journeys. Eighteen thousand six hundred were concession journeys. Six paid drivers work with volunteers who coordinate stops. A driver says that helping workers keep jobs motivates her to stay, but unpredictable schedules are exhausting.

Resource 2 · Cash and capacity

NightBridge has unrestricted cash of CU 42,000. At its current activity it expects an operating cash deficit of CU 3,000 a month before the options below. Its board requires a minimum unrestricted balance of CU 12,000. Two minibuses are heavily used between 21:00 and 23:00. A spare vehicle can run only if another qualified driver is available. Another district operator would lease a bus for CU 3,000 per month, excluding driver wages.

Resource 3 · Employer proposal

A manufacturer offers a 12-month paid service for its employees. It would add 6,000 full-fare passenger journeys per year and CU 5,500 monthly net cash inflow from month 2 after ordinary operating costs, including a driver. Driver training and route preparation would cost CU 15,000 immediately. The manufacturer wants regular departures during the current peak. It will consider moving half its departures 30 minutes later. Under its initial timetable, existing concession journeys fall by 1,200 annually and the remaining existing journeys are unchanged. The contract is renewable but the employer gives no commitment beyond year one.

Resource 4 · Passenger survey and council offer

In a survey of 90 current concession passengers, 54 work rotating shifts and 63 say a fixed late departure would make travel less useful. The volunteers reached passengers on two busy nights. A council offers a restricted CU 24,000 training grant for relief drivers over one year. Training costs exactly CU 24,000 and does not cover wages, buses or existing deficits. A six-week pilot of staggered employer departures could run with a smaller contract; its net receipts would need to be negotiated. The council wants verified monthly concession proportions, missed pick-ups and staff turnover before discussing renewal.

NightBridge · Social enterprise [25]

Use all four resources in planning your answer.

(a) Using one motivation theory, describe a human need that NightBridge helps a driver meet. **[2]**

(b) Explain two challenges NightBridge faces in maintaining social and financial sustainability. **[6]**

(c) Recommend a two-year plan of action that improves NightBridge's finances while meeting its social purpose. Refer to all the resources and use relevant business management tools or theory. **[17]**

End of question booklet · 25 marks